

Return on Equity

Another important measure of profitability is the return on equity, or ROE as it is often termed. The purpose of this ratio is to determine whether the return earned is as good as other alternatives available. This return is calculated by expressing income, i.e. the net profit after tax, as a percentage of share holders' equity. It is to be noted that the income figure should not include extraordinary, unusual or non recurring items as that would distort the results arrived at. In addition, the net income on which this ratio is calculated should exclude dividends on preference shares. Shareholders' equity is the stake ordinary shareholders have in a company and includes, reserves and retained earnings.

$$\text{ROE} = \frac{\text{Net income after tax} - \text{Dividend on preference shares}}{\text{Average shareholders' equity}}$$

Illustration

The published results of Homedale Limited included the following:

	Year-1 Rs. (lakh)	Year-2 Rs. (lakh)	Year-3 Rs. (lakh)
Income before tax		1,100	1,700
Extraordinary Items		300	---
		1,400	1,700
Taxation		400	500
Income after taxation		1,000	1,200
Shareholders' equity	10,000	11,000	12,200

Note: The tax applicable to the extraordinary profit is Rs. 200 lakh.

The Return on Equity in the two years would be:

$$\begin{aligned}\text{Year-2} & \quad \frac{1,000 - (300 - 200)}{0.5 \times (10,000 + 11,000)} = 8.57\% \\ \text{Year-3} & \quad \frac{1,200}{0.5 \times (11,000 + 12,200)} = 10.34\%\end{aligned}$$

The ROE has improved in Year-3. The investor would however need to determine whether this is the best return that he could have got, i.e. could he have earned more if he had invested his money elsewhere.